

Too many financial writers love to quote boxer Mike Tyson: “Everyone has a plan till they get punched in the mouth.” But with a plan (and a contingency plan), at least you have options that were decided when you were coolly rational—not when you are bloodied and emotional. Quoting Tyson is the laziest of dodges versus thinking about what might happen in the future.

Compounding is a miraculous thing

When you are forming a new venture, the very last thing you are thinking about is how gains reinvested on top of prior gains compound over decades. Yet that is exactly what occurs with companies that succeed.

Now reinvest those gains again and again for 50 years, and you end up with a substantial sum of money. Obviously, \$329 billion is a huge outlier. In 99.999% of instances, gains won’t be anything like that. But they do add up over time, and after four decades, even a modestly successful company (or portfolio) can amount to many millions of dollars.

That’s the miracle of compounding.

Understand valuation

Not understanding what a company’s potential could be decades hence is a mistake anyone could make. After all, the world can change dramatically in a few years. Recall the infamous one-word cover of the June 1997 *Wired* magazine: “Pray.” ²³⁸ That was when Apple was thought to be on the verge of bankruptcy. Anything can happen.

Three years before that, Wayne wasn’t done making bad trades regarding Apple. He sold the original partnership document in 1994—the one he, Jobs and Wozniak all signed—for a mere \$500. This was 14 years after Apple went public, and the company had already developed a cult following.

In 2011, the same document sold at auction for \$1.6 million. ²³⁹ Not